Brazil Macro Monthly

Stronger growth amid fiscal uncertainties

Highlights

- We lifted our 2022 GDP growth forecast to 2.2% from 1.6%, in line with a stronger-than-anticipated rebound in the labor market and additional short-term fiscal stimulus. We continue to expect 2023 GDP to grow by 0.5%.
- With the approval of new measures to increase spending, we now estimate a primary deficit of 0.1% of GDP in 2022 for the public sector. The maintenance of these expenditures in the coming years will demand a reassessment of the current fiscal rules.
- Tax cuts reduce short-term inflation and brings IPCA forecast to 7.0% in 2022. For 2023, we project 5.0% inflation, due to the repayment of federal taxes on fuel and the increase in inflation expectations
- The Brazilian real has weakened some 12% since the end of May, for both external and domestic reasons. We believe that risk premium tends to fall after elections, so we keep our FX yearend forecast at 5 reais per dollar.
- We believe the Copom will opt for a pause in the tightening cycle after an additional 50-pbs hike in August. We continue to see rate-cuts in 2023, but now only after May (from March, in our previously scenario).

Caio Megale
Chief economist

Alberto Bernal
Chief Global & EM Strategist

Andres Pardo
Chief Latam Strategist

Rodolfo Margato
Economist

Tatiana Nogueira
Economist

Tiago Sbardelotto
Economist

Francisco Nobre
Economist

Maria Jordão
Intern

Alberto Silva
Intern

Contact
economiaxp@xpi.com.br

XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.2	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	9.0	9.2
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	7.0	5.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	9.25
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	-0.1	0.0
Gross debt (% GDP)	75.3	74.3	88.8	80.3	80.6	84.5
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	67.0	48.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	332.0	334.5
Imports (USD Bn)	185.3	185.9	158.8	219.4	265.0	286.5
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.5	-36.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.1	-1.8
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	2.9	3.3
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.87	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.56	10.10

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Fiscal risk jeopardizes the positive effect of global disinflation on the Brazilian economy

The global monetary tightening appears to have finally hit commodities. The CRB All Commodities index has fallen by 8% since early May, and joins the stock market trend, which has been negative since the beginning of the year.

We believe commodity prices will remain at historically high levels, but lower than recent peaks. This, along with a likely economic recession, should gradually reduce inflation in developed markets in the coming quarters.

It seems a good scenario for Brazil: commodities are still high, but not to the point of feeding global inflation. That could encourage the Brazilian central bank to take a pause in the tightening cycle.

Nevertheless, as we warned in the title of June's monthly report, "fiscal dynamics worries again." The government proposed a Constitutional Amendment allowing further expenditures above the constitutional spending cap. As a response, the BRL has depreciated nearly 13% since June, underperforming most of its peers. A weaker exchange rate could offset the effect of lower commodity prices on inflation. Additionally, uncertainty on debt sustainability weighs on long-term inflation expectations.

On the positive side, economic activity and the labor market continues to beat expectations, reflecting reopening, reforms, and fiscal impulses. We raise our GDP forecast for this year to 2.2% from 1.6%. For 2023, we kept it at 0.5%

Global Backdrop: Recession in the US becomes the most likely scenario; commodity prices react negatively

Inflation has continued to surprise. With no signs of relief, US inflation continues to be pressured and widespread, reflecting continued supply disruptions and second-round effects. We lifted our CPI inflation forecast to 6.0% in 2022 and 3.0% in 2023. In Europe, inflation reached a 40-year high in several countries. Service inflation (previously subdued) has now risen above the target range, suggesting that price increases have become widespread and are expected to remain high for longer.

The Fed will have to take interest rates to contractionary levels. The Fed has become increasingly hawkish with the persistence of high inflation and the resilient labor market. We now expect the Fed to hike 50 bps in July, 50 bps in September, and 25 bps in November, reaching the terminal interest rate of 3.0%. But the risk is clearly to the upside.

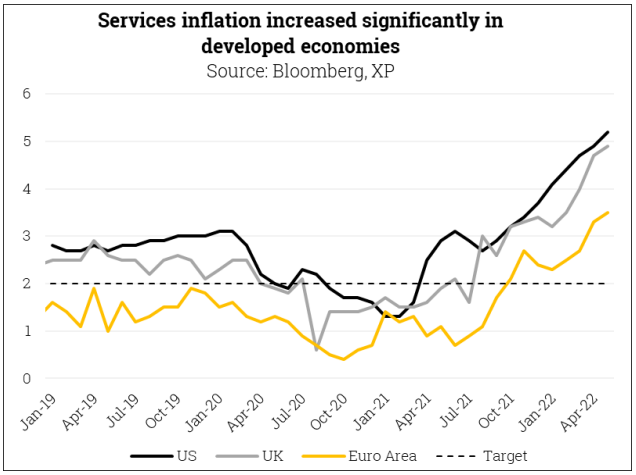
We are now anticipating a US recession in the first half of 2022. In recent reports, we have mentioned that the odds of a recession have been mounting. Indicators have worsened considerably during the past month, suggesting a high probability of a second consecutive quarter of GDP contraction, marking a technical recession in Q2. Moreover, the Q1 figure was revised downwards, driven by lower personal consumption, suggesting that momentum fell more than previously expected. The fall in economic activity was mainly driven by a deterioration in net exports, while consumption and investment continued to expand.

This recession is expected to be brief. Despite the fall in GDP in the first half of the year, economic activity should rebound in the second semester. Nevertheless, with tighter financial conditions, the US and global economy are expected to grow at a slower pace during the next two years. We have revised our US GDP growth forecast to 1.6% in 2022 (3,0% previously) and 1.5% in 2023 (2,5% previously).

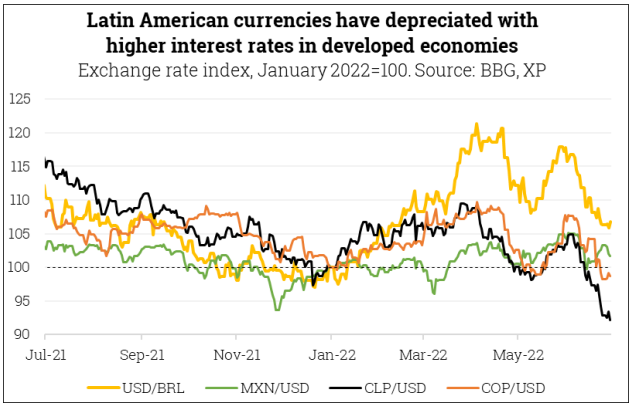
The recession outlook hit commodity prices – though we do not expect a material additional drop. There has been a generalized fall in commodity prices over the past month, reflecting lower demand under the scenario of higher recession probability. Agricultural commodities have suffered a more significant decline, while energy prices remain high. Despite the downturn, commodity prices continue materially above historical levels and are expected to remain high throughout the year.

In any event, lower commodity prices should help global inflation to fall in coming quarters.

Latin American assets take a hit with higher global risks. Latam assets have benefited from high commodity prices and cheap valuation since the start of the year, showing an impressive resilience despite the complicated international environment. Nevertheless, Latin American currencies and equities have depreciated considerably over the past month, reflecting higher global risk aversion.



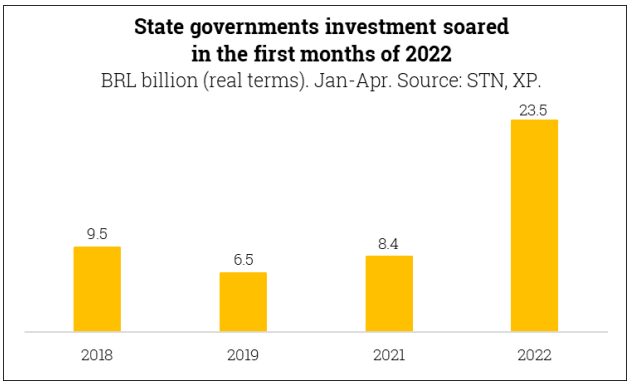
XP Forecast - US GDP					
	2019	2020	2021	2022 (p)	2023 (p)
Net Trade	-0.7%	-0.6%	-6.2%	-4.7%	-0.4%
Imports	*1.1%*	*-8.9%*	*14.0%*	*9.8%*	*2.7%*
Exports	*-0.1%*	*-13.6%*	*4.5%*	*3.3%*	*3.5%*
Government	2.2%	2.5%	0.5%	-1.2%	-1.4%
Consumption	2.2%	-3.8%	7.9%	3.1%	2.2%
Investiment	3.4%	-5.5%	9.8%	6.9%	2.1%
Aggregate GDP	**2.3%**	**-3.4%**	**5.7%**	**1.6%**	**1.5%**



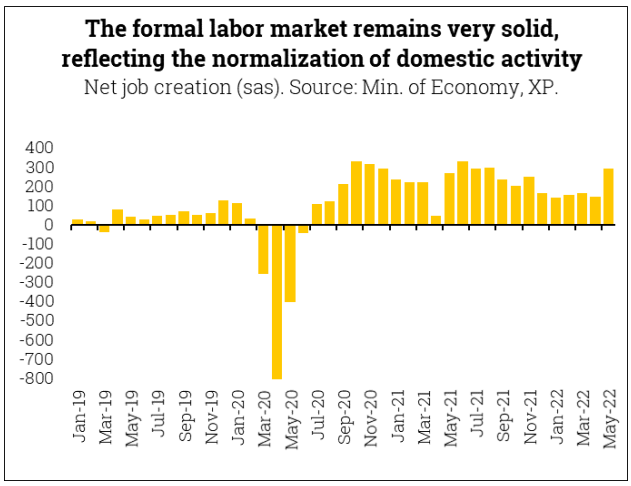
Brazil: Stronger growth amid fiscal uncertainties

Economic Activity – we expect Brazil's GDP to expand by 2.2% in 2022 (1.6% before)

Activity indicators continue to surprise to the upside, with emphasis on the increase in consumption. The Brazilian economy has remained on a recovery path in recent months, showing widespread improvement among the main sectors. Increased mobility (stemming from the loosening pandemic-related restrictions), commodity prices at still high levels and expansion in regional government spending have contributed to this favorable dynamic. More importantly, real household disposable income grew sharply in the first half of 2022 – we estimate it jumped nearly 7% compared to the second half of 2021, discounting seasonal effects. The positive performance is explained by the solid rebound in employment in tandem with the government's new social protection program (*'Auxílio-Brasil'*, with larger cash transfers) and short-term fiscal stimulus, such as the release of extraordinary FGTS withdrawals and anticipation of the 13th salary for retirees and pensioners. Accordingly, household consumption has grown steadily, which boosts retail, services and (part of) manufacturing activities. Regarding the latter, some manufacturing segments continue to struggle with supply chain bottlenecks, despite signs that the worst is behind us.

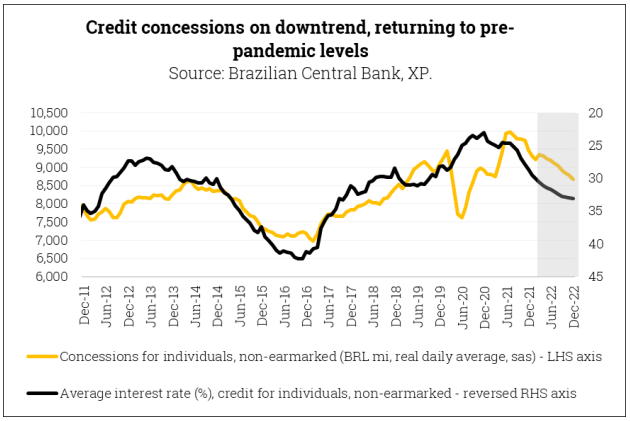


Labor market recovery remains very solid. Employment has grown at a much faster pace than expected in recent months. According to the Ministry of Economy's CAGED report, for example, more than 900 thousand formal jobs were created between January and May 2022. Hence, the seasonally adjusted unemployment rate dropped significantly in the period, to 9.3% from 11.5%. The improvement has been driven by both formal and informal job openings. In addition, although real wages remain far below levels seen before the Covid-19 crisis, latest figures suggest a gradual recovery.



As a result, we now estimate that Brazil's GDP expanded by 0.8% QoQ in Q2, a mild slowdown from the 1.0% QoQ growth in Q1. This represents an improvement from our latest report – when we projected a 0.6% increase QoQ.

The weakening of domestic activity over the second semester should be smoother than originally thought. We continue to expect Brazilian economy to lose steam in coming months, in line with tightening financial conditions – particularly the substantial rise in interest rates and higher risk perception. However, the slowdown in activity is likely to be mitigated by stimulus measures discussed in Congress (with some already approved). We draw attention to the Complementary Law 194, which should reduce short-term inflation; and to the likely approval of the so-called *'PEC of Social Benefits'* (proposed Constitution amendment #1/2022). As per our preliminary calculations, the changes could raise 2022 GDP growth by 0.25pp, mainly due to the increase in household disposable income and the subsequent further boost in consumption. We incorporate these effects into the baseline scenario.

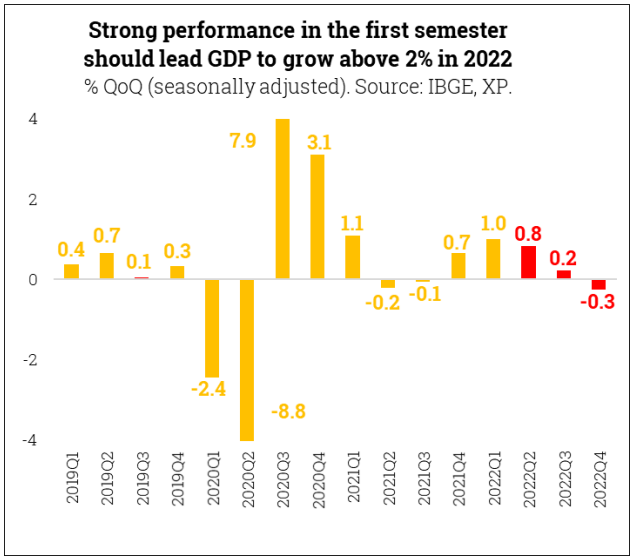


Therefore, we are revising our expectation for 2022 GDP growth, to 2.2% from 1.6%.

Nonetheless, we maintain the forecast of a 0.5% growth in 2023. A contractionary monetary policy for longer and global economic slowdown will act as headwinds for the Brazilian economy next year, in our view. Moreover, the statistical carry-over effect for 2023 GDP should be around zero, as per our projections. Finally, a key assumption for our scenario to hold is that fiscal policy will pursue long term debt-sustainability.

GDP Breakdown (annual change, %)	2020	2021	2022 (F)	2023 (F)
Agriculture and Livestock	3.8	-0.2	1.7	2.0
Industry	-3.4	4.5	1.0	0.2
Services	-4.3	4.7	2.6	0.6
Total GDP	**-3.9**	**4.6**	**2.2**	**0.5**
Household Consumption	-5.4	3.6	2.0	0.7
Government Consumption	-4.5	2.0	2.3	0.4
Gross Fixed Capital Formation	-0.5	17.2	-2.7	-0.8
Exports	-1.8	5.8	2.9	1.5
Imports (-)	-9.8	12.4	-3.0	1.7

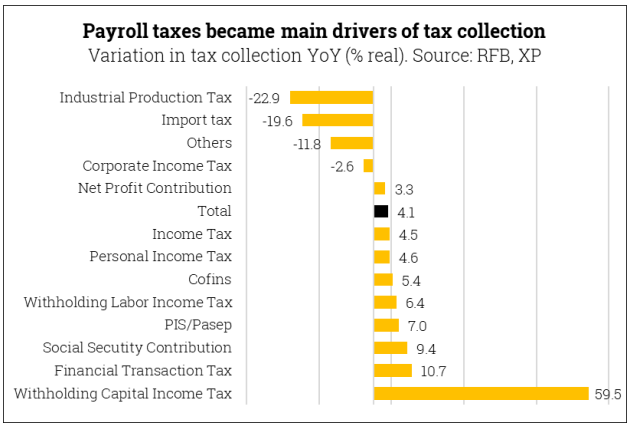
Source: IBGE, XP.



Fiscal – Recent measures increase medium-term risk

Current results remain positive. The Central Government recorded a BRL 39.4 billion deficit in May, but mostly due to one-off events, such as the earlier payment of bonus salary to retirees and pensioners (in May, instead of December). Thus, in the reading for the year, the outlook for public finances remains positive.

Tax collection remains solid. Tax collection remained solid in May, now with earnings on wage bill as the main driver, on the back of a solid labor market recovery.

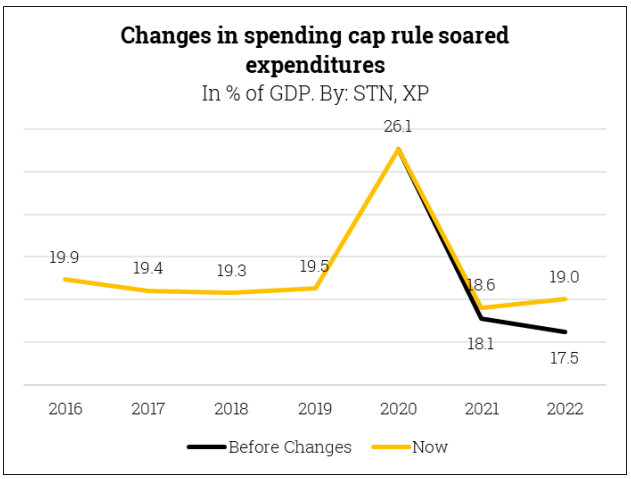


But relevant fiscal risks have materialized. Congress approved a bill that zeroes Federal tax on gasoline and ethanol (until December this year), with an estimated impact of BRL 16.6 billion. The bill also permanently reduces state tax (ICMS) on fuel, electricity, communications and public transport to 17%-18% - with an impact of some BRL 46 billion this year and over BRL 92 billion in 2023.

New expenditures in PEC nº 1/2022 (substitutive version)	
Measures	**Impact (BRL billion)**
Increase in Auxílio Brasil	26.00
Expansion of gas-voucher	1.05
Truck drivers' aid	5.40
Subsidy for free public transportation	2.50
Tax credits on Ethanol	3.80
Taxi drivers' aid	2.00
Expansion of Alimenta Brasil program	0.50
Total	41.25

More to come. Congress will most likely approve a constitutional amendment to allow north of BRL 40 billion in social spending above the constitutional spending cap. The resources will be used to boost cash-transfer programs.

The measures erase our primary surplus forecast for this year. Positive current results would suggest an upward bias to our Central Government primary balance forecast for 2022 (BRL 0.4 billion). But considering the measures mentioned above, we cut our projection to a BRL 43.8 billion primary deficit.



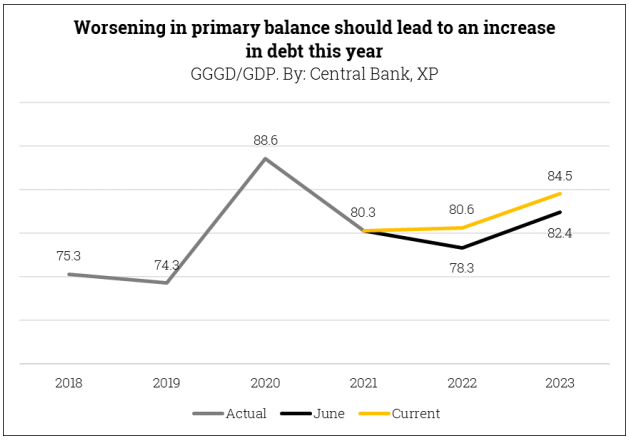
Lower inflation this year reduces the cap for 2023. We have recently revised our 2022 IPCA forecast to 7% from 9.2%. Lower inflation this year has a positive effect on the Central Government's accounts in 2023 due to a smaller adjustment to next year's spending cap. As a result, we reduced our Central Government primary deficit projection

to BRL 15.5 billion in 2023 (subject to the maintenance of the spending cap).

Pressures on spending cap, however, are likely to increase. If the recent rise in social spending ends up being permanent – which seems likely - the spending cap rule will become virtually unfeasible. There is also very little room for public-servants wage increase within current fiscal framework. It means that there is a non-negligible probability of the spending cap rule to be abandoned next year.

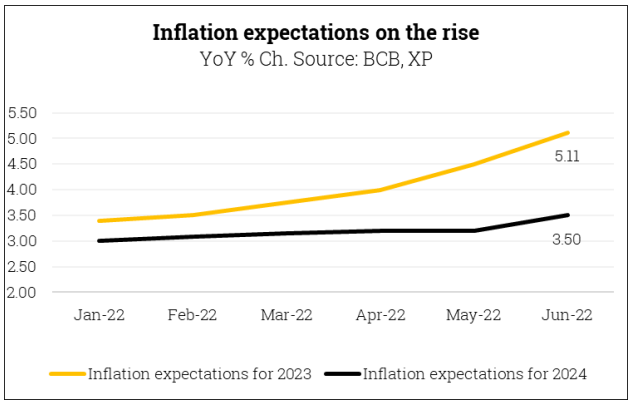
Therefore, a deep dive on existing fiscal rules become an urgent theme for the coming presidential term.

Public debt rises again in our estimates. We expected public debt to decline further in 2022 due to a combination of a positive primary result, higher nominal GDP and some exchange rate appreciation. However, given the changes discussed above, we now estimate a primary deficit and a lower GDP deflator. Therefore, we now expect that General Government Gross Debt (GGDB) should rise to 80.6% of GDP, instead of falling to 78.3%, as we predicted in our previous monthly report.



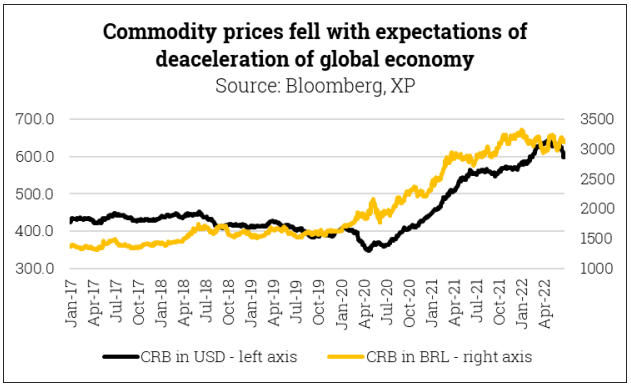
Inflation – Lower commodity prices should help, but fiscal uncertainty is a risk

Tax cuts reduce short-term inflation but bring medium-term risks. Last week we revised our IPCA forecast for 2022 from 9.2% to 7.0% but raised our forecast for 2023 from 4.5% to 5.0% (see details here). The abovementioned tax-cut measures approved in Congress bring some short term relieve, but fiscal uncertainties add pressure to medium-term expectations.



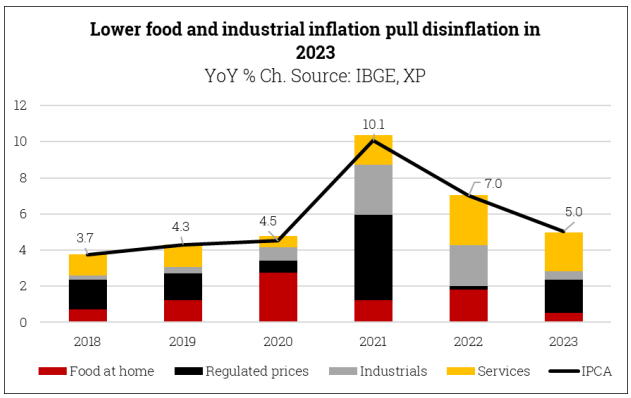
Tighter monetary policy in developed markets may contribute to domestic disinflation. Brazilian inflation has a strong global component. Monetary adjustment in developed countries, and its consequent impact on commodities, should help Brazilian disinflation ahead. However, this effect could be offset if the exchange rate continues to depreciate in reaction to growing fiscal uncertainties.

We expect commodity prices to stabilize at around current (still high) levels. The war in Ukraine and tight supply/demand balance should prevent commodity prices from falling much further. The exception are agricultural commodities, that tend to continue to fall in the second semester, helping to bring food inflation from 10.5% this year to 3.5% in 2023.



Industrialized goods inflation should decelerate only in 2023. The category has already accumulated 22.4% inflation since the start of the pandemic (March 2020) and continues to hover around 1% per month. We estimate a gradual slowdown ahead, due to lagged effects of monetary policy on demand and the normalization of global production chains.

Service inflation remains under pressure, partly due to the reopening and pass-through of costs and because demand has not yet felt the effects of higher interest rates (see activity section above). This year, we expect service prices to rise 8.0%. For 2023, we project a slight deceleration to 6%.



In short, despite the significant ongoing monetary adjustment, we see IPCA at 5% next year, above the upper limit of the target range (4.5%).

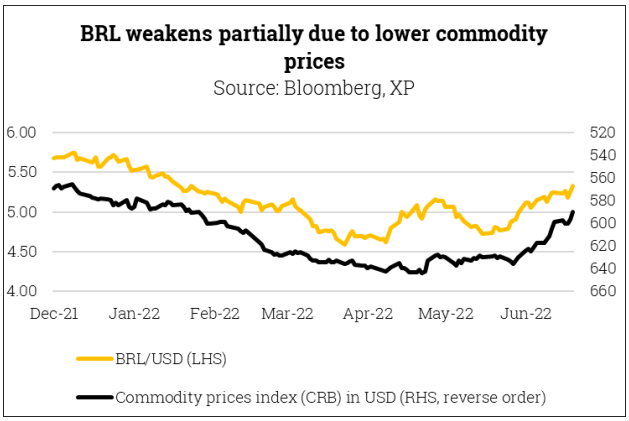
External Sector – Weaker BRL also reflects fiscal uncertainties

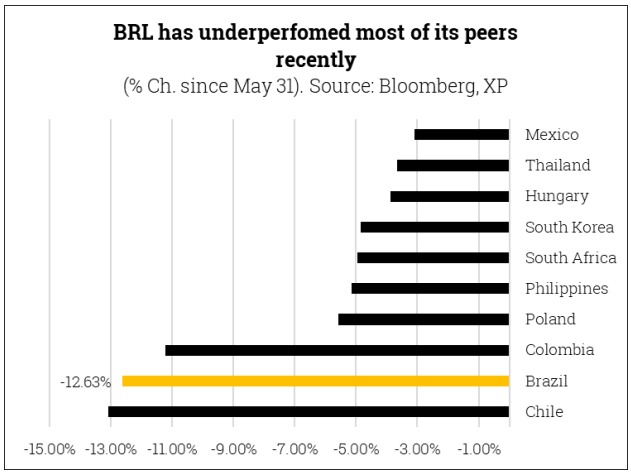
The Brazilian real (BRL) has weakened some 12% since the end of May. Part of this depreciation was spurred by a more hawkish Fed and by the drop of commodity prices (see chart). However, considering that the BRL fell more than its EM peers, we believe that the worsening of the fiscal outlook (see fiscal section above) also added pressure to Brazilian assets risk premium.

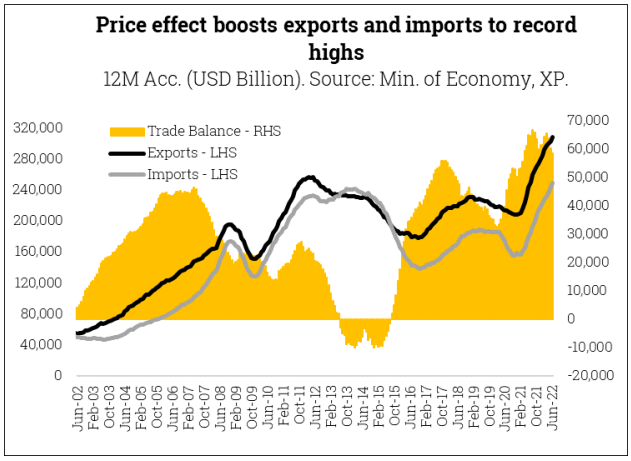
We still believe that risk premium tends to fall after October elections, so we keep our FX year-end forecast at 5 reais per dollar. The external environment should also sustain a more stable BRL since i) we don´t believe the Fed will have to go much further than what is currently priced in; and ii) commodity prices will remain at relatively high levels, following the ongoing correction.

The Brazilian trade balance remains at historically high levels. Exports and imports have been rising sharply in the recent period, mostly driven by the "price effect". The total value of foreign sales increased by 20.5% in the first half of 2022 compared to the first half of 2021, reaching USD 164 billion. In turn, the value of imports jumped around 31% in the same period, totaling USD 130 billion. The *quantum* of exports and imports varied modestly in year-over-year terms, but international prices soared on this comparison basis, particularly for commodities. We anticipate that the trade balance will end 2022 at USD 67 billion (3.6% of GDP). For 2023, we expect a surplus of USD 48 billion (2.5% of GDP), in line with the outlook of slowing external demand and decline – albeit moderate – in commodity prices.

Current account deficits remain low, with sound sources of funding. We have not changed projections for the other balance of payments accounts. The latest official statistics for the external sector refer to February 2022, due to the strike by Central Bank employees. We expect a current account deficit of USD 20.5 billion in 2022 (-1.1% of GDP) and USD 36 billion in 2023 (-1.8% of GDP), still significantly better than the pre-pandemic balance (-USD 65 billion or -3.5% of GDP in 2019). Meanwhile, the FDI – Foreign Direct Investment – should remain robust: we forecast USD 55 billion (2.9% of GDP) this year and USD 65 billion (3.3% of GDP) next year, slightly below the amount around USD 69 billion (3.7% of GDP) recorded in 2019.







Monetary Policy – High rates for longer, reflecting worse fiscal and stronger activity

The Copom recognized the need to keep hiking rates beyond 13.25%. Considering that the inflation outlook remains challenging, the BCB's monetary policy committee (Copom) stated that it "foresees a new adjustment, of the same or lower magnitude" for its August meeting.

We continue to see the terminal Selic rate at 13.75%. We believe the Copom will opt for a pause in the tightening cycle after an additional 50-pbs hike in August. And then enter a long "wait-and-see" period.

How long of a pause? A hint of this pause's length may be found in the latest Quarterly Inflation Report. The Copom presented a scenario where the Selic stays at 13.25% until the end of 2023, saying that this could trim 30 bps from the 2023 IPCA forecast. We believe the Copom will pursue this lower forecast. But our econometric exercises suggest if it keep rates high for so long, 2024 IPCA projection would be unnecessarily low. A similar result could be reached with the Selic at 13.75% until mid-2023.

Thus, we continue to see rate-cuts in 2023, but now only after the May meeting (from March in our previously scenario). Recent deterioration in fiscal outlook and better-than-expected activity numbers are indeed consistent with monetary policy tighter for longer.

In sum, we keep our 13.75% Selic forecast for 2022 year-end, but raise to 9.25% (from 8.75%) the forecast for 2023.

XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.2	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	9.0	9.2
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	7.0	5.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	9.25
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	-0.1	0.0
Gross debt (% GDP)	75.3	74.3	88.8	80.3	80.6	84.5
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	67.0	48.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	332.0	334.5
Imports (USD Bn)	185.3	185.9	158.8	219.4	265.0	286.5
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.5	-36.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.1	-1.8
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	2.9	3.3
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.87	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.56	10.10

Source: IBGE, BCB, Bloomberg, XP.

Disclaimer

This material was prepared by XP Investimentos CCTVM S.A. ("XP Investimentos" or "Company") and should not be considered as a research material for the purposes of article 1° of CVM Instruction 598/2018. All opinions, projections and estimates constitute the judgment of the author as of the date of transmission and these, plus any other information contained herein, are subject to change without prior notice. The Company does not support or oppose any political parties, political campaigns, candidates,or public officials. Furthermore, XP Investimentos is not permitted to give corporate funds, property or other resources to political parties or candidates and will not reimburse any shareholders, directors, officers, employees, and licensors for such contributions or expenditures. XP Investimentos and its affiliates, parents, shareholders, directors, officers, employees, and licensors will not be liable (individually, jointly, or severally) to you or any other person as a result of your access, reception, or use of the information contained in this communication. Past performance is no guarantee of future results. Therefore, nothing in this report constitutes a representation that any investment strategy or recommendation contained herein is suitable or appropriate to a recipient's individual circumstances or otherwise constitutes a personal recommendation. This report is published solely for information purposes, it does not constitute an advertisement and is not to be construed as a solicitation or an offer to buy or sell any securities or related financial instruments. This material (including any attachments) is confidential, may contain proprietary or privileged information and is intended for the named recipient(s) only.